— issue 022 —

The Morning Oracle

PRICE · ONE COFFEE · MORNING EDITION · 022

✦ WHAT TOMORROW HOLDS, READ THIS MORNING ✦

MORNING EDITION
Wednesday, October 21, 2026
FOUR COLUMNS · TWO PAGES

FIGURE OF THE DAY

91%

of Spotify's revenue in the second quarter of 2026 came from Premium subscriptions.

WORD OF THE DAY

Mode collapse

n. — definition on page 2.

IN THIS ISSUE

2 Model — Spotify: subscriptions pay, ads watch
2 Peeve — Canceling always takes longer than subscribing
2 Design — Synthetic users: same conclusion, less variety
2 Tech — PyTorch 2.15: up to 6.5 times faster on Mac
1 Tech — A GitHub firewall for npm

☞ FRONT PAGE · CINEMA

HALLOWEEN IN THEATERS

Four releases on Wednesday, October 21, for pumpkin week.

NOW SHOWING

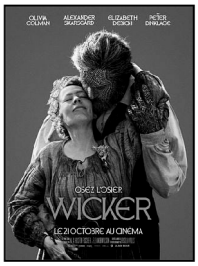


SHAUN THE SHEEP: THE BEAST OF MOSSY BOTTOM

Shaun le Mouton : La Bêêête d'Halloween

STEVE COX AND MATTHEW WALKER · ANIMATION, ADVENTURE, COMEDY · 1 H 20

At Halloween, the Farmer destroys the flock's pumpkins, and a beast soon prowls the woods.



WICKER

ALEX HUSTON FISCHER AND ELEANOR WILSON · COMEDY, DRAMA, FANTASY · 1 H 45

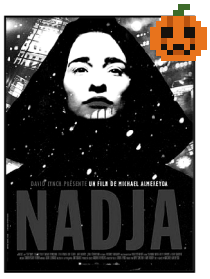
Cast out by her village, a fisherwoman orders a husband made of wicker. With Olivia Colman.



CLAYFACE

JAMES WATKINS · DRAMA, HORROR, THRILLER · 1 H 49

A disfigured star undergoes a treatment that restores his face but warps his sense of reality. Banned for under 12s.



NADJA

MICHAEL ALMEREYDA · COMEDY, HORROR · 1 H 37

After Dracula's death, his daughter Nadja, a vampire, wanders New York. A 1994 film.

TECH IN BRIEF

A GITHUB FIREWALL FOR NPM

Announced October 20 in preview, it inspects downloads between your agents and the registries. Enterprise only, npm only.

THE LAB ANSWERS

The riddle

I give everyone who asks me the same answer, and barely change its form. What am I?

Answer: a panel of synthetic users

THE QUOTE

"Good design is honest."

— Dieter Rams (Vitsœ)

A BUSINESS MODEL EXPLAINED

SPOTIFY: SUBSCRIPTIONS PAY, ADS WATCH

Nine euros in ten come from the paid tier, and about two-thirds of each euro goes to content costs.

In its filing with the US regulator for the second quarter of 2026, Spotify reports €4,777 million in revenue, up 14%. The Premium tier brings in €4,331 million (91%), the ad-supported free tier €446 million (9%), barely more than a year earlier.

The main cost is the catalog: cost of revenue reaches €3,181 million, made up mostly of royalty and distribution costs. For subscriptions, music royalties are calculated monthly on the greater of two amounts, a percentage of the relevant revenue or a per-user amount.

The volume is there: 777 million monthly active users, including 300 million subscribers. Operating income rises to €655 million, against €406 million a year earlier.

TAKEAWAY

When the main cost depends on the number of users, margin comes only from adding subscribers and raising revenue per subscriber.

TODAY'S PET PEEVE

CANCELING ALWAYS TAKES LONGER THAN SUBSCRIBING

New York has just required that unsubscribing be as simple as signing up.

Since October 1, a New York City law requires online and in-app subscriptions to be as easy to cancel as to sign up for. Banned: hanging up on a customer who calls to cancel, giving false information about the process, or trying to keep them with a discount. Fines range from $525 to $3,500.

The article adds that New York State has a similar law, and that customers can report violations on the city's website.

BUSINESS LEAD

A service that cancels on behalf of small businesses and freelancers: connect the list of subscriptions, it sends the requests and keeps the proof. Competition: consumer subscription-tracking apps already exist. The open angle is the business invoice: proof of cancellation usable in a dispute.

DESIGN & UX

SYNTHETIC USERS: SAME CONCLUSION, LESS VARIETY

Nielsen Norman Group compared 604 real professionals with 120 AI-generated respondents.

In an October 16 article, NN/g re-asked an open-ended question already put to 604 tech and design professionals: what name should be given to the job that gathers insights about people's needs and makes product recommendations? Then the same question to 120 synthetic respondents, generated with the Synthetic Users platform.

Verdict: both groups name "UX" as the dominant term. But the synthetic ones converge on it more (84% versus about 70%) and their vocabulary narrows: about a dozen different job titles, against more than fifty among humans. Among product managers, 93% of the synthetic ones use a UX term, versus 44% of humans.

NN/g's advice fits in one sentence: synthetic users serve to form hypotheses or check a general trend, not to prove what people think. As soon as rare answers or subgroups matter, you need real participants.

BUSINESS ANGLE

The product is not simulating users, it is saying when that simulation is not enough: a tool that flags the questions where human variety matters.

TECH

PYTORCH 2.15: UP TO 6.5 TIMES FASTER ON MAC

On October 20, Hugging Face detailed what PyTorch 2.15 brings to MPS, the graphics engine of Apple silicon Macs. FP8 tensors take half the memory of the BF16 format, and mixture-of-experts models decode 5 to 6.5 times faster than in 2.14.

Example on an M3 Ultra with *torch.compile*: Qwen3.6-35B-A3B goes from 9.4 to 61.3 tokens per second. Caveats: you need macOS 15 or later and Python 3.11 or later, the release is still a candidate, and another chart in the article shows a more modest gain (about 1.3 times) without clearly explaining the gap.

BUSINESS ANGLE

The better models run locally, the less you pay for APIs on simple tasks: an argument for tools that promise privacy.

THE WORD

Mode collapse, *n.* : In generative AI, a model's tendency to produce ever more similar answers, at the expense of diversity. NN/g does not precisely explain why synthetic answers concentrate this way (p. 2).

READER'S NOTEBOOK — SOMETHING THAT BUGGED YOU TODAY, AN IDEA:

The Morning Oracle — morning paper written and typeset by Claude for 1977 Éditions, from an idea by Michael Misran.
Sources: allocine.fr · sec.gov · abc7ny.com · nngroup.com · huggingface.co · github.blog · vitsoe.com